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THE LIMITATIONS OF THE SPECIAL CASE[1]

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This paper is the reaction of an economist who, after several years of work overseas on problems of economic development, has had an opportunity to reflect on the usefulness of his subject. If the tone is rather sharp in places, I must ask the reader to understand that close personal contact with the problems of backward countries instils, for many reasons, a sense of urgency and some impatience. Economics seems very slow in adapting itself to the requirements of the main task of the day—the elimination of acute poverty in Africa, Asia and Latin America—just as the previous generation of economists failed to cope realistically with economic fluctuations until after the depression had brought politically catastrophic results.

The life cycle of each period in the development of an economic doctrine is now familiar. Some great issue of public economic policy appears. At first, economists in high places refuse to admit that this is any concern of the profession.[2] Some of the more enlightened, it is true, find a place somewhere in the syllabus for the question (an additional chapter or an optional seminar), and discuss it in print, but the treatment is quite conventional and seems unrealistic. A few heretics make themselves unpopular by demanding much more emphasis and perhaps even a different theory, with different policy implications. One might call this the ' Hobson phase '.

Meanwhile political tensions mount; a growing proportion of younger members of the profession are attracted into this field; and the journals carry papers which cannot easily be fitted into the traditional doctrine, but which on the other hand cannot easily be ignored. This is the second, or 'Kahn', phase.[3] Later, a sizable number of the younger generation defects, led by a Keynes; they uncover what are now gaping holes in the current

[1] I am grateful to Mr. Fei, Mr. Jolly, Mr. Kennedy, Mr. Reynolds, and Mr. Worswick for comments on an early draft and to Mr. Streeten for an extensive critique, which has been of great help. I would like to take this opportunity to express my gratitude to the Economic Growth Center at Yale, which provided me with the respite from practical work and the professional stimulus to write this and other papers. The general argument was put forward in a discussion group of which co-organizers were Mr. Grunwald and Mr. Lamfalussy.

[2] The story is told in Latin America of a Chilean graduate student who stated, in answer to a question by a very eminent London professor, that he wanted to specialize in the economics of development. 'Oh!' said the professor, 'What economics is that?' This was in the 1950's!

[3] Richard, not Herman, naturally.

orthodoxy; demolish it enthusiastically, though not without arousing vehement protest; and erect a new system in its place. In university after university, as professors pass into retirement, the teaching syllabus is recast, and the fringe subject is given more importance, perhaps eventually central importance, so those in the profession who backed the right horse get their just rewards. It is then their turn, and their privilege, to block progress.[1] (Nobody burns his lecture notes until the next generation is already thundering at the door.)

If there was ever a time when one could see a major revolution in doctrine looming ahead, it is today. And the reasons are, as always, because the existing body of theory cannot explain what has to be explained, nor can it give the help that is politically essential. What has to be explained is why economies grow at different rates, and the help that governments need most desperately is advice on how to stimulate development.

It is clear where the force which will disrupt the subject is emerging. In the past five years, impatience with poverty has grown, but development has either slowed down in the poorer economies or been accompanied by increasingly severe tensions (e.g., payments deficits and inflation). In some of these, for example Argentina and Chile, the political position is now critical, and yet conventional economics does not have a great deal to offer by way of useful advice. Development is still considered as merely one branch, more an appendage than an essential element, of the syllabus. One hears the term 'development economists' as if they were a race apart.[2]

The political dangers are now so obvious that this state of affairs cannot continue. There are many pressing questions on which professional help has so far been very meagre. When is it justifiable to use labour-intensive but out-of-date techniques? How can one decide what to spend on education as opposed to capital investment? And on secondary education as against primary? Can capital-output ratios be used as a guide to savings needs, and if so which, and with what qualifications? To what extent, and when, does economic size limit growth? How does export diversification help to stimulate development? What sort of central bank should an exporter of primary products have? And so on and so on.

Attempts to deal with problems such as these will end, if the history of economic thought is any guide, by changing the attitude to development in industrial economies, and therefore the whole body of economic theory.

Naturally we cannot say what the changes will be. It is not for any member of this generation to anticipate the essential characteristics of the doctrine of the next. As has always been the case, we shall greet professional novelties with horror, fail to understand them, and fight against them vehemently. The date is too early to foresee what form the necessary (in fact

[1] This cycle is of course not confined to economics. Thus one could talk of the 'Bruno phase', the 'Copernicus phase', and the 'Kepler-Galileo phase'.

[2] The question of why economists almost completely neglected overseas countries, and the central problems of growth, for so many decades, is an interesting one, but its answer lies in the field of sociology, not economics.

inevitable) reconstruction of the subject will take. We are not even in a position to judge what has to be demolished of the old doctrine, or what can be saved and adapted for further use. This is still somewhere late in the 'Hobson phase', or early in the 'Kahn phase', of development economics.[1] The 'Kahn article' may not yet have been published. A characteristic of this article is, of course, that nobody recognises it as much at the time; only in the 'Keynes phase' can its historical significance be appreciated. All one can safely say is that attempts to solve practical problems of development are going to teach us a great deal about processes of economic change, and the time is almost ripe for the appearance of a Keynes (though this task may be beyond the capacity of any single person).[2]

One obstacle to the reconstruction of economics is that we have not really grasped, still less accepted, the point that the subject we have inherited was built in and for countries with which the profession was familiar, namely developed industrial economies.[3] To paraphrase a dictum of E. H. Carr: Before you study economics, study the economist; before you study the economist, study his historical and social environment.

The whole business is made much more difficult by the widespread practice that authors and lecturers have, of not merely concentrating on the economics of some developed industrial country, but presenting it as universally valid. Textbooks or lecture courses with quite general titles, such as 'Economic Principles', 'Banking' or 'Public Finance', turn out to be really treatises about economic principles, banking or public finance in the United States, the United Kingdom or a typical developed economy.

In this respect economists are somewhat less than rigorous. A book is not called 'Principles of Astronomy' if it refers only to the earth or the solar system or even the local galaxy. We justifiably expect a lecture course on geology to deal with other continents besides the one on which the author happens to live, unless the title is duly qualified. Even sociologists generally avoid this error.

The common failure to specify the frame of reference, which is so liable to mislead students and to hinder the subject's development, is at first sight puzzling, because the developed industrial economy is by no means typical. Viewed from the point of view of either history or geography, it is an extremely rare case, and obviously so. There have been only a few such economies for a few decades; even now they cover only quite a small fraction of mankind. It may be argued that economics is international in its scope, and provides an

[1] The transformation now is bigger and there are a number of candidates for being considered the 'Hobson' of this generation—e.g., Myrdal, Prebisch, Singer, and Nurkse. I would be inclined to nominate Prebisch, because it is a characteristic of a 'Hobson' that he is effective partly because he does not quite realize what he is doing to the subject. Besides, Prebisch lives closer to the seismic fault from which the tremors are emanating.

[2] We can hardly expect as much 'explanation' (in a statistical sense) of growth as of cyclical fluctuations.

[3] As Arthur Lewis says (*The Theory of Economic Growth*, Introduction), 'There is a natural tendency to assume that the things which are associated in the society we know must necessarily also be associated in all other societies.'

adequate basis for work anywhere. In fact, this *is* argued, and *must* be argued, since every aging doctrine must defend itself as best it can. (*A priori*, one can predict the moves of the defence just as in a taut chess game.) But here we can apply an empirical test. Are economists in fact successful when working in non-industrial countries? I would put in evidence (though you may have to take my word for it) a point on which there is widespread agreement, that economists are very little use working on the problems of underdeveloped countries, until they have done so for some years, and then only if they are unusually adaptable. Engineers are probably more useful than economists on economic problems in these parts of the world, at least until the latter have had two or three years' experience. There is so much for economics graduates to unlearn—and unfortunately the abler the student has been in absorbing the current doctrine, the more difficult the process of adaptation.

In any case it is inherently implausible that a 'general theory', or even propositions of any generality, can be derived from the experience of a few countries with highly unusual, not to say peculiar, characteristics. Teaching which concentrates on this type of economy is somewhat distorted, and the distortion is dangerous if those teaching fail to stress continually that they are dealing with what is a highly special case.[1]

The typical case is a largely unindustrialized economy, the foreign trade of which consists essentially in selling primary products for manufactures. There are about 100 identifiable economies of this sort, covering the great majority of the world's population. This is also fortunately the most interesting and important type of economy, for it is here that economic problems are really acute and the economist's help is most needed.

Economists were once more keenly aware of the limitations of what they taught. Thus John Neville Keynes quoted Bagehot as specifically limiting the subject to the study of a single kind of society, 'a society of grown-up competitive commerce'. While himself believing that there are some universally applicable abstract principles, the elder Keynes pointed out that, so far as concrete doctrines were concerned, 'their relativity follows immediately from the realistic conception of this portion of the science adopted in an earlier chapter. It is as true of economic conditions, as of social conditions in general, that they are ever subject to modification. They vary with the legal form of society, and with national character and institutions. Even where the forces in operation are the same, the relative strength that should be assigned to each may vary indefinitely. Law, custom, competition, combination, are agents in determining the distribution and exchange of wealth, no one of which is probably at any time altogether inoperative. But the extent of their influence, and the manner in which it is exerted, are constantly

[1] Particularly dangerous if somebody who has learned Anglo-Saxon economics proceeds to reproduce it uncritically at a university in a non-industrial economy. Unfortunately, this happens only too often, so that many students find that the only way they can acquire the professional qualifications to work on their own country's problems is to take a course which may in fact make their job, at least temporarily, more difficult.

varying; and such variations are always of importance as affecting the relevance of economic doctrines in relation to actual economic phenomena'.[1]

As a rare modern example, Joan Robinson: 'English economists, from Ricardo to Keynes, have been accustomed to assume as a tacitly accepted background the institutions and problems of the England each of his own day; when their works are studied in other climes and other periods by readers who import other assumptions, a great deal of confusion and argument at cross-purposes arises in consequence.'[2]

Perhaps the strongest statement of the other side was by Robbins: 'It is only failure to realize this [i.e., that certain basic assumptions are of universal applicability and that useful deductions can be drawn from them], and a too exclusive preoccupation with the subsidiary assumptions, which can lend any countenance to the view that the laws of Economics are limited to certain conditions of time and space, that they are purely historical in character and so on.'[3] Also Bauer: 'I am now convinced of the very wide applicability to underdeveloped countries of the basic methods of approach of economics and of the more elementary conclusions stemming from these.'[4]

Characteristic features of the special case

What are the features of the private-enterprise industrial economy that make it of limited professional relevance for work in other economies? I can only indicate these here in note form.

I. *Factors of production*

(*a*) *Labour:* Literate and mobile, mostly in employment; highly organized; racial, religious and linguistic differences not sufficiently important to break up the labour supply; substantial quantities of skilled and professional workers.

(*b*) *Land:* Most available land cultivated, and by private owners (or farmers with secure leaseholds) in plots of economic size.

[1] *The Scope and Method of Political Economy*, pp. 294–6 (1897). It is interesting to speculate whether this Keynes would have entitled a book on the fluctuations of industrial economies a 'general theory'.

[2] *Exercises in Economic Analysis* (p. xvii).

[3] *An Essay on the Nature and Significance of Economic Science* (Chap. III). In fact this very book has a number of propositions which are only true, if indeed they are true, under highly specific conditions. Thus it is held that redistribution of real income is virtually impossible, because changes in the structure of prices would thwart it. 'This conclusion, which is obvious enough from the census of occupations, tends actually to be concealed by computation in money . . . if we compute the proportion of the population now producing real income for the rich who would be turned to producing real income for the poor it is easy to see that the increase available would be negligible.' This seems rather a wild statement, even for an economy such as the United Kingdom in 1932. Was the subsequent redistribution of income entirely an illusion? Are resources so specific that they cannot move in response to moderate price changes? The proposition that income cannot be redistributed would hardly be of worldwide application.

[4] *Economic Analysis and Policy in Underdeveloped Countries* (p. 15). Bauer goes on to state that he is thinking especially of the elements of supply and demand analysis, and his examples refer mainly to elasticity of factor supply. But examples in a narrow range and from a few countries would not necessarily substantiate a proposition of such generality. (The previous footnote suggests that Robbins would not agree that there is mobility of labour in the United Kingdom.)

(*c*) *Capital:* All sectors heavily capitalised, with spare capacity; integrated and comprehensive systems of transport and power.

(*d*) *Enterprise:* A wide field from which entrepreneurs can be drawn, and a favourable climate for enterprise; firm legal basis for corporations.

II. *Sectors of the Economy*

(*a*) *Agriculture:* Wholly commercial, and flexible in response to price changes or technical advances; foreign ownership rare; extensive marketing network for foods.

(*b*) *Mining:* Of limited size and in the hands of local firms.

(*c*) *Manufacturing:* Diversified, with a large metal-using industry producing (*inter alia*) machinery and vehicles; some areas of competition.

(*d*) *Overall:* Manufacturing much larger than either agriculture or mining; natural resources adequately surveyed.

III. *Public Finance*

(*a*) *Revenue:* Strong reliance on direct taxes relative to import or export duties; tax laws enforceable.

(*b*) *Expenditure:* Includes big outlays on social security and agricultural subsidies, relatively little on public works.

IV. *Foreign Trade*

(*a*) *Exports:* Consist of several products for which there is a large internal market, and for which price and income elasticities are fairly high; export prices determined by local costs and stable; exports sold to many countries.

(*b*) *Imports:* Consist largely of primary products (some of which are also produced domestically) which come from many countries, and for which the income elasticity of demand is not high.

(*c*) *Capital:* Long-term capital flows and profit remittances of secondary importance.

V. *Households*

(*a*) *Income:* Distribution moderately equal (post-tax); very few living at subsistence level.

(*b*) *Expenditure:* Food not overwhelmingly important; standardisation and mass production possible, because of equal distribution of income, national promotion and homogeneity of tastes; prestige of local manufactures high.

VI. *Savings and investment*

(*a*) *Savings:* Mobilized by a capital market, comprising a stock exchange, a bond market and an extensive nationally owned banking system,

with a central bank and a managed currency; personal savings significant.

(*b*) *Investment:* High (probably over 20 per cent of G.D.P.); but import content very low.

VII. *Dynamic Influences*

(*a*) *Trade:* No chronic tendency to deficit because of income elasticities (see above).

(*b*) *Population:* Growth of population slow (less than 2 per cent a year), and urbanisation relatively moderate.

(*c*) *Aspirations:* Envy of foreign living standards not high or spreading as a cause of discontent.

II

In brief, what is assumed is an autonomous and flexible socio-economic structure, in which each human being responds individually to the material incentives offered, and which is subject to no formidable exogenous strains.

The extent to which various economic principles rely on the assumptions set out above is a matter of opinion. There are propositions of a very elementary sort which have some general validity (e.g., those showing the implication for prices if demand and supply curves have certain shapes and shift in one direction or another). But macro-economics is another matter. The burden is surely on those who claim that this is not highly specific to show how any macro-economic model fits various non-industrial economies, each with its own institutions and productive structure.[1]

It cannot even be taken for granted that the aggregative categories with which we now work (such as 'labour', 'full employment', 'savings', etc.) are going to prove useful in non-industrial economies.

The major inadequacies of conventional economics for those dealing with the typical case are that analysis focuses on the wrong factors, and the models do not fit at all closely the way in which non-industrial economies operate.

One respect in which analytical emphasis is rather inappropriate is that although time can often be ignored when deriving propositions for developed economies, it certainly cannot in economies which are underdeveloped. In Asia, say, the need for social and economic development would be urgent even if there were neither population pressure nor rising aspirations. Consequently, purely static propositions are mostly irrelevant, if not actually misleading. Moreover, the fashionably uncommitted attitude to growth, intellectually cloaked in positivism, while perhaps justified by local circumstances in developed economics, has little place when one is dealing with economic problems in a more general sense.

The second error in emphasis is that insufficient attention is paid to the

[1] An E.C.L.A. study, *Inflation and Growth in Latin America*, assembles available Latin American material to show the extent to which these various assumptions are valid in the 20 republics of that region.

social structure, feudal land systems, conventional work practices, the existence of foreign firms, disparities between regions, racial barriers, etc. It is arguable how much such factors hamper progress in industrial countries, but there is little doubt that they are more serious overseas as obstacles to growth. Conventional economics contains little discussion of the economic implications of policy tools such as land reform, nationalization, or capital levies, still less raising the educational level of the adult labour force. In brief, institutions are taken as given, whereas the question is precisely what institutions to change and how.

Thirdly, improvements in nutrition, housing, and health services are treated, if at all, as increases in consumption, rather than as influences on output. (This is still also partly true of education.) Here again, this is understandable in societies where economic progress is not conditional on raising the quality of labour.

It may be argued that false emphasis merely renders much of modern economics irrelevant. However, habituation, hour after hour, year after year, to static models, assuming given institutions and neglecting the determinants of human capacity, makes a student gradually unfitted to understand, let alone solve, the problems of non-industrial societies.

Similarly, years of study and work with models devised to explain industrial economies make it hard for economists to grasp the operation of a very different type of economy. One main difference is that (except for a few large economies such as India), activity and employment in the non-industrial economy depend very much, in both the short- and the long-term, on the export sector. Moreover, the nature of the response to changes in exports depends on the organization of this sector, especially whether taxes, profits of foreign companies, or peasant incomes absorb the highest share of increments in income. It also depends on the type of product (particularly whether there is any significant domestic market). The role of the export sector is rarely stressed in conventional economies, and this for a very good reason—in an industrial economy hardly any major sector sells the greater part of its output overseas.

This leads to another point. Non-industrial economies cannot be understood unless studied in the context of the world economy. The sales of their particular primary products, and thus their development, are determined by (i) the rate of growth of the industrial economies that buy from them, (ii) the income-elasticities of demand for the commodities they export, (which reflect, *inter alia*, the substitution of artificial materials for natural ones), (iii) protective measures that limit imports into industrial economies, (iv) influences on the distribution of the remaining markets between various suppliers (company policy, preferential tariff arrangements, etc.). One could argue that industrial economies would also be easier to understand, if the same approach were adopted. But they do not absolutely require this treatment—it may be reasonable to treat them, which is often done implicitly or explicitly, as it they were closed economies.

Of course, the development of non-industrial economies may become also partly independent of export performance. This implies, however, import substitution, which necessarily involves for these economies (in contrast to those which are already developed), the founding of completely new manufacturing industries. This in turn requires investments in transport and energy, and (defining 'investment' slightly differently) in education, etc., and involves a shift in the composition of imports. But the substitution process eventually reaches a limit, which is set (in the main) by natural resources and the size of the local market. However, this process and these limitations are hardly discussed at all in conventional economics, which is so 'global' that it misses essential characteristics of development.

Finally a word should be said about some of the peculiarities of fiscal and monetary sectors which affect the operation of industrial economies.

For example, because of the heavy weight of direct taxes and the scale of unemployment benefits, the public sector automatically compensates, in some measure, for fluctuations in the private economy. In non-industrial economies, on the other hand, a slump in trade can rarely be overcome by throwing the budget into deficit, because the only means of covering it will probably be to run down reserves. (This is obviously true of one particular type of non-industrial economy, an 'open' economy; there a payments deficit appears immediately, if internal activity is maintained in a slump.) So the government may in time be compelled to raise taxes or reduce outlays, aggravating the initial downward impulse. Another feature of the fiscal system in industrial economies, but not in others, is that it operates to spread income more widely over the country's various regions and thus ensures that none get left far behind in an economic advance.

While all industrial economies have virtually complete monetary automony, this is by no means universally true. Even the larger non-industrial economies, which manage their own currencies, lack many of the means of influencing the supply of money, such as open-market operations; moreover, foreign companies and foreign banks, which draw finance from, or supply it to, their head offices, may be quantitatively important and their operation may affect the money supply more than any steps taken by the local central bank.

Because of their financial systems, industrial economies have boundaries corresponding to their political frontiers. But, when we look at the other types, we may wonder whether the nation is the correct unit of analysis at all. If fiscal and monetary systems are very tenuous, geographical or racial or religious barriers may seal off parts of the nation into virtually self-contained sub-economies. For this reason, national averages (e.g., income levels, wage levels, price levels, etc.) may have little meaning, whether used for comparison with other countries, or for measuring progress over time.

An example: the concept of the multiplier

The best way to demonstrate that concepts cannot readily be generalized from industrial economies is to give an example. The usual treatment of

income determination in modern economics rests heavily on the 'multiplier' effects of investment. But the way in which income is created depends very much on whether the country makes steel and machinery itself or imports such goods. Every non-industrial country buys from abroad a large fraction of its equipment needs, and the great majority import all their steel too. Since the machinery content is very different for different types of investment, the effect on imports varies from project to project. Moreover, even as far as the local component is concerned, the implications for imports, employment, etc., depend on whether the investment is undertaken by contractors, public works department or private individuals, and also on whether it takes place inland or near ports (where the import propensities of consumers are higher).

Another point is that the effect of investment depends on whether local supply conditions are generally elastic, i.e., on whether there is unemployed labour of the right type, spare capital, and factor mobility.[1] For reasons indicated earlier, one would not expect these elasticities to be very high, particularly in agriculture. Consequently, the secondary waves of purchasing power will generate price rises, rather than higher domestic output and employment, even though there is considerable unemployment.[2]

What this means in practice is that the mechanism of income creation is highly complex, and the 'multiplier' cannot be expected to have a stable value. Naturally, even in the United States the multiplier reaction is not the same for every single project, but one would hardly expect that the composition of total investment (in this respect) would change drastically from one year to the next. So the way in which the multiplier works can be considered stable for the purposes of teaching. In non-industrial countries, however, the commencement of investment in a particular large project may change the whole mechanism of income creation. And as capital goods industries emerge, as import regimes alter, as internal communications improve and as agriculture is developed, the multiplier effects of all types of investment, and thus of total investment, will change significantly.

Furthermore, in non-industrial economies, foreign trade is a more important determinent of income than investment, except for a few special cases. Yet the mechanism of income creation attributable to changes in foreign trade may be quite different from what happens when domestic investment alters. One contrast with industrial economies is that we cannot usefully work with 'net' foreign investment. A change in exports may be quantitatively the same as a change in imports, so that in each case net foreign

[1] Formally, the lack of an equipment industry mentioned in the previous paragraph could be considered a special case, since it means that the price elasticity of domestic supply is zero.

[2] This last point is stressed by V. K. R. V. Rao in 'Investment, income and the multiplier in an underdeveloped economy'. (*Indian Economic Review*, Feb. 1952); in an economy like India, the foreign trade aspect is much less important. Rao draws the conclusions that there is no such thing as a unique level of full employment in an underdeveloped economy. See also 'Cual es la utilidad practica de la teoria del multiplicador?' by Osvaldo Sunkel (*El Trimestre Economico*, July–Sept., 1957), which puts more emphasis on the role of export fluctuations.

investment alters to the same extent. Yet the repercussions may be entirely different, because the exporting and importing sectors are entirely different (perhaps hundreds of miles away from each other). In any case, import changes are (except in time of war or blockade), induced by income fluctuations, and usually follow export changes more or less closely. The appearance of an export surplus may reflect simply a delay in getting orders filled.

What is more important in practice, the magnitude and nature of the repercussions of export fluctuations depend on *which* exports have changed (because various export industries may be subject to high or low taxation, may or may not be in the hands of foreign companies, etc.), and secondly, on whether the change in the value of exports of a commodity was in the quantity exported or in its price. In mineral economies, for example, export fluctuations, especially when they are due to price changes, are to some extent offset by the variation in the profits of foreign companies.

Not merely is investment less important than trade in this context, it is very largely induced by trade, particularly in the more backward economies. Much investment is either in the export sector, in facilities for the movement and storage of exports and imports, or in the distribution of imports. The remainder largely depends on exports indirectly, through income.[1]

This does not mean that the idea of secondary waves of income creation is completely useless outside industrial areas. What it does imply is that, if the concept of the multiplier is to be generalized, attention has to be concentrated from the outset on the 'leakage' due to imports (including profits made by foreign companies), instead of this being a qualification introduced later, as is usually the case; secondly, exports have to be depicted as the motive force in income determination. The concept of a 'multiplier', in the sense of a coefficient which can be expected to be the same whatever the economic stimulus and whatever the stage of development, is likely to mislead the student rather than to help him. It is a concept which was developed to meet a particular problem—namely how to understand the trade cycle in industrial countries, so as to devise policies for reducing the heavy unemployment of the inter-war years. Such a concept could hardly have been thought of if economics had evolved in countries exporting primary products and importing capital goods.

It may be argued that all these points can be accommodated within the traditional analytical frame; technically this is true, but in fact the subject is not taught in this way,[2] and the economist acquires a view of income determination which is a hindrance rather than an asset when it comes to working in non-industrial economies. He may, for example, easily adopt a naïvely optimistic view about the possibilities of compensatory fiscal policy.

[1] This incidentally implies that 'the accelerator' also cannot be treated as a global coefficient with a stable value.

[2] A more radical line of criticism would be that concepts like 'investment' (as a homogeneous category) do not help the student who will work on development problems.

Samuelson's 'Economics' as a text

The textbook is what moulds the mind of the student more than anything else. This is something which he not only reads and rereads, but attempts to learn, as a source of truth. In order to see what sort of influence texts may exert on readers who will work on development problems (and who will themselves teach for decades in this field), let us look at one popular example, *Economics* by Paul Samuelson, a book very widely used in the universities of the underdeveloped and developed countries alike, and which is, of course, for many purposes, brilliant.

One reason for its success is the way in which contemporary material is used to illuminate problems. But this material is drawn almost exclusively from the United States. The reader gradually becomes accustomed to an economy with the abnormal features indicated above. Domestic investment is treated as the main determinant of income, for example, and the trade-cycle model presented is applicable only to a diversified economy.

Foreign trade is confined to a relatively small section late in the book, and there is no discussion of the different types of export sector, or their implications. Indeed the relation between trade and the domestic economy is depicted in a way typical only of an industrial country; for example, it is alleged that devaluation tends to restore equilibrium by expanding exports and reducing imports.[1] Here again the case in tne author's mind seems to be the United States. It is not obvious how devaluation of the cruzeiro could restore equilibrium in Brazil, say, in view of the fact that the price elasticity of demand for coffee is low; in fact there is now a quota on coffee exports. Could the volume of imports be reduced when they consist almost entirely of fuel, materials, and machinery? The evidence of Brazilian experience is really opposite; it implies that devaluation does *not* restore equilibrium. Of course, new exports might be stimulated on an adequate scale in a decade or so, but clearly the treatment is quite misleading for a Brazilian student, or someone who will work in Brazil or on problems of development or international economics.[2] It may be argued that Brazil is only one example, but a score of others could be given and a single exception is enough to overthrow an unqualified generalization.

Although reference is made to protective devices and the gold standard, there is no explanation of the critical difference between the functioning of 'open' economies—i.e., those without exchange control, import licensing, or high tariffs—and of others. Nor is there sufficient material on the world

[1] Page 760 in the fifth edition, 1961, which is the edition under consideration here.

[2] Discussing the applicability of the concept of an equilibrium exchange rate for pre-revolutionary Cuba, Henry Wallich points out: 'But where the price mechanism has little influence, the equilibrium rate ceases to be clearly defined even if domestic and foreign incomes are given. In this the Cuban system differs radically from the industrial economies of Britain or the United States, where a few per cent in the price—or in the exchange rate—may decide whether their products can compete in the world market on even terms or not.' This quotation is from *Monetary Problems of an Export Economy* (p. 216), which is one of the very few attempts to consider how appropriate conventional economic principles are for an underdeveloped economy which exports primary products. See also 'Export Economies' by Levin.

economy to enable a student to see how any particular country would fit into it, or what are the main influences on a country's exports (and its rate of growth).

There is little mention of institutional change, which is perhaps only to be expected in a work dealing with an economy where such change has been limited in the past century. The question of whether existing institutions permit the resources of an economy to be mobilized, or prevent them from being, to feed, clothe, house and employ the public is not discussed (after all one can argue that it is not a very pressing one in the United States).

Only at page 775 are problems of 'economic growth and development' broached. Even here the role of industrialization in development is not brought out, nor for that matter is the reader told of the patterns of growth revealed by modern research.

One of the main weaknesses of this text, as of many, is that the argument is either at the 'macro' level of the nation or, more often, at the 'micro' level of the firm or family.[1] Practically nowhere is there a discussion of the economics of either the world or the industry, which are precisely the interesting levels, Oddly enough, input-output analysis is mentioned only in an appendix on the history of economic doctrines, as a latter-day version of Quesnay's *Tableau économique*.

Finally, but above all, there is no description of the various types of economy (petroleum exporters, metal exporters, coffee exporters, etc.).

The title of Samuelson's text should not be 'Economics', but 'The Economics of the United States in the Twentieth Century'. In fairness one should add that, at least in recent editions, the book shows relatively considerable awareness of the outside world (and of economic history); most other texts claim generality with even less justification.

The translator of the Spanish edition apparently felt vulnerable to the line of argument developed above. 'Lo que deseo es justificar mi criterio sobre el problema planteado por les constantes referencias del texto a la realidad economica de los Entados Unidos.'[2] He argues that to adapt the text to the needs of the reader's own country would be out of the question—quite different versions would be needed, say, for Chile and for Spain; anyway, the United States was a very important case, and worth study for its own sake. But, in his view the main consideration was: 'Se encuentran las ideas generales con validez general para todos los situaciones estructurales.'[3] In the fourth edition (1958) Samuelson himself made the same point:

[1] Samuelson justifices devoting most attention to microeconomics by saying (on page 412): 'man has gained considerable mastery over his macroeconomic problems'. It is true that one can see the author is referring to the United States, but students may not all realize this. In any case this is no defence for a textbook with a title suggesting that it is, as it is often taken to be, a general text. The justifiable reaction of a student in Calcutta, say, would be that economics is not so much a dismal science, as a callous one. And is the statement true even for the United States?

[2] Jose Luis Sampedro in the translator's introduction to the Spanish version of the third edition (Aguilar, Madrid, 1958). 'I want to justify my judgment on the problem raised by the repeated references in the text to economic conditions in the United States.'

[3] 'General ideas can be found with universal validity for all types of structure.'

'I like to think that the book's wide use abroad and translation into foreign languages . . . is a reflection of the relevance to societies of quite different institutional development.' (This comment does not appear in the preface to the subsequent edition.)

These statements can best be judged if we see how they would look in another field. Suppose a textbook on zoology limited its descriptive material to horses and claimed that the big sales of an early edition showed its relevance to animals of quite different physiology?[1] Or could one defend issuing, without amendment, a special edition of the same book for keepers of domestic pets by stating that the horse was a very interesting animal, and that anyway if one tried to adapt the text for the needs of the home, one would have to write separate books on cats, dogs, etc.? Such arguments actually invite the student to fall into the trap of treating the special case as if it were the general one.

A Marxist text

I might add in passing that Marxist textbooks also seem to be of limited value for those who want to understand economically backward countries. A common example is *Political Economy*, prepared by the Academy of Sciences of the Soviet Union. This treatise can be found in students' rooms in many countries, and is a prescribed text for all departments in the three Cuban universities.[2]

Oddly enough many of the same criticisms apply. Here again a great deal of space is taken up by the workings of an industrial economy; foreign trade is not emphasized; the treatment is too global; and so on.

This text has, however, its own, though not unexpected, defects. Metaphysical questions such as 'What is value?' are discussed at length, and the basic Marxist model for capitalism is elaborated, using categories such as 'rates of surplus value' and the 'organic composition of capital' which may have a political function, but do not seem very helpful to the economist. No attempt is made to compare values of these coefficients for different capitalist countries. Sections devoted to underdeveloped countries, including Latin America, treat them as if they were colonies, virtually without any heavy industries, and while emphasis is given to the role of foreign companies, there is no reference to their contribution to local economies (through taxes, etc.).

Naturally, one cannot complain that social issues are avoided—the description of the various social classes and of their political roles and ideologies would make more sense than Samuelson does to students who have first-hand knowledge of a partially industrialized society, for example Chile. Such countries are not wholly unlike what the economies of Western Europe were in the middle of the nineteenth century (which afforded Marx

[1] In how many societies has man mastered macro-economic problems?

[2] My comments are based on the Spanish-language edition (1959) now being used in Cuba, entitled *Manual de Economía Política*. Apparently a more up-to-date edition is now being prepared, but it will be surprising if it proves to be free of the faults mentioned here.

his material). The 'industrial reserve army' of the unemployed is after all to be seen in the streets, and it does play the function of keeping wages down to subsistence levels. The attitude of the landowning classes to social change seems positively calculated to prove Marx right. Those from more backward economies, where there are large foreign-owned plantations, might find the account of imperialism fairly convincing.

But the standard Marxist scheme of stages of development—from a primitive economy through slavery and feudalism to capitalism and socialism—seems too rigid. Where would Ghana fit, for example, with different regions at different levels of development? And what would be its next stage, capitalism or socialism? The fundamental weakness seems to be that there is little attention to institutional development *within* societies at a given stage. This is no doubt a corollary of the simplistic view that revolutionary transformation of structure is the main form of social change.[1]

It seems that, apart from Lenin's 'Imperialism', the material of which is also by now out-of-date, there has been little theoretical progress in a century. No use is made, or knowledge shown, of any advances in the social sciences. The treatment of Keynes is little short of scandalous. It is claimed (page 316) that he recommended raising profits by reducing real wages through inflation and that he advocated increasing the luxury expenditure of the rich and government expenditure in armaments.[2] The authors do not appear to be even aware of modern factual material that would be useful for propaganda (unemployment figures are quoted up to 1921).

Certainly there is no effort to adapt the doctrine to underdeveloped countries as they are today nor any scholarly discussion of their growth processes.[3] The implication seems to be that if the shackles of imperialism were removed, these economies would grow spontaneously.[3] There is not even an attempt to apply the lessons of Soviet experience to their problems.

It is sad to think that it is precisely the critical student in Asia or Africa or Latin America, aware of the limitations of Anglo-Saxon textbooks, who may turn to *this* as the main alternative. If Samuelson's text is to be retitled, the Soviet one should perhaps be called 'A 19th-century Interpretation of Economic and Political Change, based on experience in Western Europe'.

Other influences on the economist

The attitude of the student to development problems is formed both before and after he reads texts on economic principles. As a child and

[1] I owe this point to Mr. Streeten.

[2] The Quantity Theory still holds sway in these pages. Thus on page 176, inflation is described as a condition characterized by the presence of an excessive mass of paper money. In Marxist jargon, an argument of this kind, so comforting to the financial bourgeoisie, is objectively most reactionary.

[3] The analysis of the developed capitalist economies is also highly unconvincing. The impression is conveyed that average real wages in the United States have declined since the end of the last century! Referring to one Bogart, the manual states that after prices started to rise in 1897, wages did not keep pace. It is also alleged that real wages fell in England and France in the first part of the twentieth century. One may be able to sell this to Russian students, but those elsewhere would know it to be nonsense and is it really safe to bring up the future policymakers so ignorant of the economic facts of life?

adolescent his experience is limited to the local economy, with which he gradually becomes very familiar. If he is brought up in a developed country, the newspapers, radios and television tell him mainly about its economy, and at school he acquires a heavily nationalistic approach to history. Economic relations with foreign countries are usually painted in a somewhat unreal way. It is not unusual for the university entrant to believe that the arrangements in his country, whichever that may be, represent the best to be found, and a model worth copying by the rest of the world. Side by side with this chauvinistic picture, he may be presented with a naïve internationalism, in a sense its counterpart, suggesting that foreigners are essentially similar to himself, sharing his own economic and political prejudices.[1] Such influences continue during undergraduate life, by which time the problem of finding a job comes to play an increasing part in the formation of attitude.

In the rest of the world, students may be even more chauvinistic than they are in industrial countries (some of which have a less insecure basis for their nationalism). While in certain fields this leads to attempts at an education suitable to the local society, in economics (as in the natural sciences) the outcome is more often, especially in countries newly independent, an exaggerated respect for the mysteries of modern techniques.

The picture shown in the standard textbook is therefore accepted on all sides with little resistance. In the industrial economy, it more or less conforms to everyday experience, and the student is not experienced enough to realize its limitations. For students elsewhere,[2] an economics text shares the general glamour of all technical books from overseas.

Since undergraduate teaching does not do much, if anything, to break down parochialism and to bring home the realities of the modern economic world, the recruit to graduate school easily falls into the trap of admiring technique for its own sake. If the content is dull, the student turns to form, and this is indeed encouraged. Far from becoming more practical (as say, medical teaching does in its later stages), economics becomes still more abstract.

As H. R. Bowen has put it: 'Graduate students of economics are confronted with a vast array of concepts, techniques, and detailed theoretical constructions. They perforce live in a strange world of indifference maps, kinked demand curves, cross elasticity, marginal propensity to consume, liquidity preference, net national product, sampling error, linear programming, and input-output matrices. They spend much of their time gaining familiarity with specialized concepts and techniques, and their success as graduate students is gauged largely by the degree to which they master them'.[3]

[1] These errors are often aggravated by the gross distortions in the propaganda of the tourist industry. (Thus a picture is built up of inhabitants of the Caribbean islands as fortunate dwellers in a paradise of beaches and palm trees.)

[2] A special category is that of the student from overseas who wants to be accepted as a member of the profession in the United States or Western Europe. Like anyone bent on assimilation, he is unlikely to attempt a fundamentally critical reappraisal.

[3] 'Graduate Education in Economics,' (*American Economic Review*, 1953 Supplement).

A certain pattern of thinking becomes firmly implanted in the graduate student; intellectual agility is admired, irrespective of the purpose of the exercise. The highest praise for a paper is 'elegant' rather than 'useful'; conversely, work which is not narrowly economic may be described as 'sloppy'. Thus outlook becomes distorted in favour of the fashionable trivia. (Socrates was given hemlock for less!)

Seymour Harris, pointing out that mathematical treatment is particularly seductive, once said: 'the ablest young students take to this field and heavily concentrate on the relation of mathematics and economics. . . . Many of us are concerned lest by an overconcentration on mathematics the problems selected for study may be excessively those subject to manipulation by the use of symbols and also that many of the best minds in economics may be lost for the solution of the great public issues of the day.'[1]

Highly abstract economics evidently has some aesthetic appeal, as well as the intellectual virtues of apparent precision and perfectability. (All logically possible exceptions can be discussed, so one cannot be taken by surprise.) As long as it remains abstract, the practitioner is preserved from the embarrassments of public controversy. An able young economist, searching for a topic for a thesis or first book, finds that mathematical manipulation has the particular and not inconsiderable advantage that it offers an unambiguous way of showing a certain type of ability.[2] (Genuine ability cannot, from its very nature, be demonstrated in such an easy way.)

Since I want to avoid the perennial and rather sterile argument about the role of mathematics in economics, I am not going to deny that mathematics may be very helpful, properly used, in economic argument. My point is that its charms are probably exercising an unhealthy influence, at this particular time in the subject's evolution. For one thing, progress in manipulation has contributed to the widespread, but really quite unfounded, belief that much progress has been made in economics. Secondly, since the processes of development, which are partly institutional, do not easily lend themselves to this type of treatment, the more able student may find the field unattractive. In the third place, those who do work on the problems of non-industrial economies usually try to force the material into some global model which they have been taught, passing over the question whether it was devised with a different type of economy in mind. They may also try to quantify the model, ignoring whether the statistics are good enough for the task.

[1] In *The Teaching of Elementary Economics* (Edited by K. A. Knopf and J. H. Stauss), p. 241.

[2] There are basically three types of economist: those who use numbers, those who use letters and those who use words. Very few are equally at home in all three means of communication, or even in any two. A preference for letters may conceal a lack of fluency in the use of language and a lack of interest in numerical information, and/or an approach to the problems of society which is highly schematic, because of a partially conscious desire to follow in the footsteps of the scientist proper. (For at least two centuries, however, natural scientists have not claimed that they could reach useful conclusions simply by sitting in studies and manipulating symbols.) On the other hand, of course, aversion to letters may indicate lack of mathematical ability!

It is not only the native of industrial economies who falls into this trap; precisely because of the reputation of technique as such, the bright economist from overseas often does the same. Here authors of models are often largely to blame. Like the text writers, they rarely specify with sufficient clarity or emphasis the assumptions or state under what conditions they are likely to be valid. (This is all the more surprising in view of the fact that this branch of the profession prides itself on 'rigour')[1] Models often rest on basic, but probably unstated, assumptions like a closed economy, perfect competition, constant tastes, constant income distribution and mobile factors of production, assumptions which are quite artificial even for industrial societies.

I do not deny that highly abstract models can be useful, at least for some types of problem. The question is whether there is room for them, in view of their limited application and inherent dangers. It seems odd to introduce students to symbolic economies before they are taught what they really do need to know, not merely for their professional work, but even to enable them to decide whether any model is useful—the structure of the world economy and how this structure is changing; the working of the main productive sectors, including the principal techniques in agriculture and industry, and their requirements of labour and other important inputs; the economics of population change; the organization and operation of commodity markets; the relations between economic size, structure and growth; the economic implications of various types of social institution; and so on. People are being turned out as economists who can draw diagrams illustrating the theory of duopoly, but who would not know how to start dealing with the question (say) of whether a steel industry should be established in Guatemala, or what it should make or how much. The majority do not know a great deal of the economic history even of their own country, let alone the problems and processes of development in the Soviet Union, Yugoslavia, China, Brazil, Egypt, India or Japan—to mention some of the more interesting cases. There is almost universal ignorance of current socio-economic theories such as Marxism, which any economist working overseas will come up against sooner or later.

It is true that there are usually seminars (as there are books) on 'Development Economics'. These are, however, often based on highly aggregative models of the Harrod-Domar type, together with some bits and pieces of information provided by the teacher (or author) on the basis of what he happened to notice in the countries he happened to visit. But a global approach may, for reasons already given, mislead the student. He may conclude, rather falsely, that he has learned what is known about processes of development.

Training in the use of statistical material could help to anchor a student's approach in reality. Unfortunately 'statistical methods' as usually taught (as

[1] As Professor Ruggles once pointed out in the discussion group on development problems at Yale, merely to put an argument in mathematical symbols rather than words will not save it from any inherent imprecision.

indeed I used to teach it myself) does not do this. It may even be positively damaging. Far from showing the student how to appraise and use material, the basic and central requirement, this subject is a museum of curious and ancient tools (mostly taken over from other fields, such as biology). The implicit assumption in examples and exercises is that the data used are absolutely firm and reliable. It is as if somebody learning carpentry was taught to ignore the properties of different types of wood. The student's attention is thus repeatedly diverted *away from* the essence of the problem; an uncritical attitude to data is gradually acquired, which it may take years to get rid of.[1] There is not even much attention to the theoretical propositions on errors and biases in various branches of the subject, though these would help the economist to take into account defects in the material, and decide under what conditions they affect one's conclusions.[2]

It could be argued that what an economist really needs is at least a year's work in a statistical office. Only by having to face, hundreds of times, the minor problems of tabulating trade returns, arranging departmental series for publication, and reporting surveys or censuses, does one acquire a genuine 'feel' for the reliability of data, and therefore for what can and cannot be done in applied economics. Universities could, however, help shorten the probationary period by simulating practical experience. This means setting up research projects with actual material, such as successive censuses of agricultural or industrial production (or perhaps imaginary documents with constructed defects). The student would be forced to face the problems posed by changes in coverage, etc., when he attempts to compare productivity or price level from one census year to the next. If the point is heavily emphasized that the quality of the material determines very largely what analysis can be carried out, there will be less temptation to use overelaborate techniques.

The second defect in statistical teaching, which may show itself in the graduate's subsequent work, is analogous to one already mentioned in economics, namely that he is taught to manipulate, rather than to interpret. The emphasis is on how to fit regression lines (say), rather than on how one should read a regression diagram, how to decide whether there is any point in fitting a line at all, and how to choose (with an eye on the theoretical implications) between the different sorts of function. Analogous critcisms could be made of teaching in the interpretation of time series, and in drawing conclusions from samples.

The standard argument in defence of abstract techniques, in both economics and statistics, is that it teaches students 'how to think'. Since in

[1] It is interesting to speculate how this approach could ever have come about. Perhaps its root is the conventional division of labour between the menials who do practical work and the savants who know technique.

[2] Questions of substance also come in here. The implication of the emphasis in economic theory suggested above is that inadequate time in statistical instruction is devoted to index numbers, including such points as 'changing base years' (sometimes index number theory is almost entirely omitted, apart from a ritual mention of the twin deities, Paasche and Laspeyres).

the event they will mostly be involved in practical work, or at least in the discussion of current problems, I would argue that non-empirical instruction teaches them to think *in the wrong way*. (No doubt the same argument was put forward in the 1920's about the models then current). It is rigid and narrow, and this leads students to pick up bad working habits, such as attempting to explain developments with linear functions chosen intuitively, and comprising a few selected variables (which are usually purely economic.) But in any case, if the aim is to develop formal methods of thought, surely the subjects needed are mathematics and modern logical analysis. The drawbacks of the type of instruction which starts by giving algebraic symbols to 'labour', 'capital', etc., are two-fold. First it encourages bogus theorising by using concepts without specifying their context (or, often, their precise meaning). Secondly, since these concepts have real-life associations, it appears to be teaching the student something about economic relationships. Similarly, the danger of purely theoretical instruction in regression analysis is that it seems to be teaching the student how to do research.

There is really no need to search for material that teaches people 'how to think'. In many important fields of economics, patterns emerge which make rather complex analytical techniques appropriate, in fact essential. They include population movements (e.g., the use of a life table, the derivation of reproduction coefficients, etc.); inter-industry relations; demand trends; and the processes of producing and using energy. These provide adequate, and much more useful, opportunities for mental gymnastics.

The degree of generalization possible

Simple explanatory models can now be constructed for various individual economies, and these could be developed into models for the different types of economy. Steps in this direction, when they have been assimilated, will be particularly helpful to teachers working overseas who are anxious to try to relate material to their pupil's needs. At present they have to provide their own gloss on the available texts, such as Samuelson's, and this is of course a poor substitute for the texts that are needed. In any case there are very few teachers who have both the time and the capacity to do it at all adequately. Many of those teaching in underdeveloped countries have heavy schedules and/or full-time jobs outside the university. Some resistance is naturally felt to the idea that such a commentary is necessary.

But it would be worthwhile to attempt something more general. There are so many common characteristics that it would now be possible to write a text covering what is, and will be for several decades, the typical case in economics, the unindustrialized economy, even though such a text would at present be very rudimentary. For all such economies, a dynamic approach is needed, with heavy emphasis on trade, and therefore on the organization of the world economy and on the operation of commodity markets. There are certain similarities in their social and economic structures and in their

problems, especially if they are grouped according to the stage of development.[1] Their growth processes show common features, and require analysis at a low level of aggregation. Recognisable patterns can be seen in the way they respond to short-period fluctuations, and again more so if we group them this time, according to the organization of the leading export sector.

It is true that the material for writing such texts is as yet largely unorganized, the reason being that we have hardly started on the task of classifying the world's economies (always a very early step in a science), let alone making any comparative analysis, or exploring similarities. The developed economies have, like Narcissus, been interested almost exclusively in themselves. The great majority of research is still devoted to their local problems, and few economists even bother to read any periodicals other than American or British.

Instead of building up propositions from detailed observation of scores of concrete cases, professional work goes mainly into the construction, largely *a priori*, of models which are provided, after their erection, with a very thin quantitative foundation (e.g. empirical verification for a single industrial country, covering at the most a decade or two), if indeed any numbers are used at all.[2] An increasing effort has, very recently, been devoted to the study of other economies—although the basic reason, one fears, is more often the Cold War than a desire to make economics a respectable subject. But since the institutions working in this field are doing little to coordinate their work, the task of drawing general conclusions will be far from easy.[3]

In all scientific subjects, progress has depended to a considerable extent on systematic and comparative research. The organized material on changes in economic structure is very thin. What does exist is due largely to three people—Clark,[4] Kuznets,[5] and Chenery[6]—and to the United Nations.[7]

[1] Perhaps first dividing them according to the degree of central planning. It could be argued that this transcends the level of industrialization as a criterion of classification. Personally, however, I believe that for many analytical purposes, Cuba has more in common with (say) Venezuela than with East Germany.

[2] 'The understanding must not, however, be allowed to jump and fly from particulars to remote axioms and of almost the highest generality (such as the first principles, as they are called, of arts and things)' Francis Bacon, *The First Book of Aphorisms*, C.I.V. Bacon is interesting reading because he wrote at a correspondingly primitive stage in the development of the natural sciences.

[3] A few Foundations provide much of the necessary finance and they could insist on a certain, even if limited, standardization. Foundation officials, however, have a misplaced (though comprehensible) fear of being considered dictatorial—and one must admit that there would be great dangers during the present early stage of the subject if its development were hindered by premature decisions on what factors are worth exploring.

[4] *The Conditions of Economic Progress*. Most research workers now are somewhat cautious about using this material, but nobody can challenge Colin Clark's right to be considered the pioneer in comparative economics.

[5] See his series of papers in 'Economic Development and Cultural Change' *seriatim*.

[6] Especially, 'Patterns of Economic Growth' (*American Economic Review*, September 1960), which is a candidate for being considered the Kahn article of this generation. It is perhaps worth noting that while British economists led the way in the previous major change in doctrine, the corresponding work today is being done almost entirely by Americans.

[7] 'World Economic Surveys', *seriatim*. For political reasons, it is hard for the Secretariat to use this material comparatively.

Apart from these, international research studies mostly cover particular industries or particular fields.[1] A basic framework exists however, with material from a number of countries, in the writings of the Latin American school of structuralists, and this is sufficiently flexible, I believe, to be extended to other parts of the world.

The possibilities of generalization in fields such as money, banking, fiscal structure and the economics of the firm seem limited, because of the great institutional differences to be found. However, one should perhaps reserve judgment on this until a decade or two from now, by which time institutions in different countries will doubtless have been systematically compared.

It can, of course, be argued that in the universities of the developed countries, at least, texts *should* be based on the local model, as they are at present, because most economists will be working for local companies or governments. Because of the influence of such countries in the world economy, and their relatively successful functioning, there would also be something to be said for economists in non-industrial countries acquiring at least a general acquaintance with this model. This is all well and good provided it is recognized as a highly special case. Even then, it could be argued that much more provision should be made for the increasing numbers who will at some period or another be concerned in some way with the problem of non-industrial economies. However, in time, this objection will doubtless disappear. The growth of comparative economies should lead to the creation of a more general framework into which special cases (like industrial economies, say, or petroleum economies) can be fitted.

A useful guide in the reconstruction of economics which is now starting could be the following modest but revolutionary slogan: Economics is the study of Economies.

[1] Mention should be made here of a new series on comparative economics, edited by Lloyd Reynolds. Two volumes have already appeared: *Foreign Trade and the National Economy* by Kindleberger and *The Economics of Labor* by Phelps Brown.

Economic Growth Center,
Yale University.

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